Entrepreneurial Motives & Characteristics

Unit 1 · 1.3.5.2 Entrepreneurs and leaders

Characteristics & skills

- **Risk-taking** — decisions with uncertain outcomes (e.g. Richard Mille's “risky” advanced materials).
- **Innovation & creativity** — new ideas that stand out.
- **Determination & perseverance** — pushing through setbacks (e.g. Elon Musk).
- **Self-confidence and decisiveness** — backing their own judgement.

They also need financial, communication, organisation and leadership **skills**. Success is rarely down to the entrepreneur alone — team, finance and market conditions matter too.

Motives for starting a business

- **Financial** — profit, higher income than employment, building wealth.
- **Non-financial** — independence, passion, work-life balance, or a social/ethical aim.

Profit maximisation vs satisficing

- **Profit maximisation** — greatest possible profit, reinvested to grow (e.g. low-margin Approved Food).
- **Profit satisficing** — enough profit to be comfortable while pursuing other goals (lifestyle, family, ethics).